MINSKY MOMENT

US economist Hyman Minsky argued that periods of economic stability lead to overconfidence, with traders taking bigger risks in the belief that prices will keep on rising. Inevitably a time comes, the “Minsky moment,” when confidence in these investments proves unfounded, borrowers can’t repay their debts, and there is a financial crisis.

The term “Minsky moment” was first used to describe the beginning of the Russian financial crisis in 1998.

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